Batliboi Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Old-line engineering group that makes and trades machine tools (CNC and conventional machines; Quickmill in Canada makes large gantry drilling and milling machines), textile machinery and air engineering (humidification, fans) for textile mills, environmental engineering (air pollution control, effluent treatment, zero liquid discharge), and, since July 2026, industrial automation and robotics through Penta Automation. Plants are in Surat and Umargam (Gujarat), Pune and Peterborough, Canada. Figures below are consolidated.

Number	Value	What it means
Market cap	Rs 444 cr	What the market values the whole company at (Screener).
FY26 revenue	Rs 440 cr	Sales for the year, up 7%, below the 10-12% it had targeted.
H1 FY27 revenue	Rs 273 cr	April to September 2026 sales, up 43% (from Rs 190 cr), helped by a strong Q1 and the Penta purchase.
H1 FY27 EBITDA / profit	Rs 17 cr / Rs 7 cr	Operating profit up from Rs 11 cr; profit doubled. Margins are thin, around 6% at EBITDA level.
Order book (Sep 2026)	Rs 646 cr	Pending orders, about one and a half years of FY26 sales; H1 order inflow Rs 469 cr.
Returns	ROCE about 2%, P/E about 121x (standalone)	The standalone business barely earns its cost of capital; the price assumes the turnaround sticks. Net debt to equity 0.28x.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY26	11 Aug 2025	Yes (key passages)
Q2 FY26	Nov 2025	Yes (key passages)
Q3 FY26	12 Feb 2026	Yes (key passages)
Q4 FY26	May 2026	Yes (key passages)
Q1 FY27	11 Aug 2026	Yes (key passages)
Q2 FY27	Nov 2026	Transcript not yet filed. Investor presentation (Nov 2026) read in full ★

Only five calls exist (the company started holding them in August 2025), so the consistency read covers just over a year. The Q2 FY27 transcript is not out yet.

Latest update highlights: Q2 FY27 investor presentation (Nov 2026)

- H1 FY27 revenue Rs 273 cr, up 43%; EBITDA Rs 17 cr vs Rs 11 cr; profit doubled to Rs 7 cr.
- Order inflow Rs 469 cr in H1; order book Rs 646 cr at September 2026. The environmental engineering division won a Rs 52 cr pollution-control contract from SAEL Industries for its solar cell plant at Jewar, UP.
- Bought 100% of Penta Automation Systems (industrial automation and robotics, clients include SKF, Tenneco, Schaeffler, Siemens) for Rs 19.8 cr: 80% upfront, 20% over five years. Penta's FY26 revenue was Rs 25.17 cr and it is profitable.
- Guidance repeated: about 10% sustainable topline growth with stable margins for FY27, citing textile and solar demand and international opportunities.
- Air engineering's Q2 was hit by floods at the Surat facility. Quickmill (Canada) had Rs 86 cr of H1 orders and turnover, with enquiries better than a year ago.

Business mix & capacity

Domestic vs export: Exports to South East Asia, North and South America and the Middle East; Quickmill (Canada) was 28-35% of revenue in Q1-Q2 FY27. A full domestic/export split isn't given.

> **Capacity use:** Capacity utilisation not disclosed.

3. Earning Trigger thesis

The possible trigger is a much bigger order book (Rs 646 cr against Rs 440 cr of FY26 sales) from textile mills recovering after the US tariff issue and EU trade deal, solar plant pollution-control work and Quickmill's export orders, plus the new automation business. Sales are up sharply in H1, but margins stay thin and management itself only guides about 10% growth.

Trigger	What management said	Evidence so far	Time horizon	Strength
Order book growth	Healthy backlog, around 10% growth	Order book Rs 646 cr; H1 sales up 43%	FY27	Moderate
Textile recovery (machinery, air engineering)	EU trade deal and tariff resolution help textile capex	Order inflows improving; Q2 hit by Surat floods	FY27-FY28	Moderate
Environmental engineering in solar	Major new ZLD and pollution-control projects	Rs 52 cr SAEL solar order	FY27-FY28	Moderate
Penta automation acquisition	New revenue stream with synergies	Profitable, small (FY26 revenue Rs 25 cr)	FY27+	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed.
New business	Yes	Acquired Penta Automation for industrial automation and robotics (Jul 2026); foray into solar via the SAEL pollution-control order (Nov 2026).
Margin up	No	Guidance is 'stable margins'; EBITDA margin about 4% in Q1 FY27.
New management	No	MD Sanjiv Joshi; no change reported.
New capacity	No	No new plant announced.
Big orders	Yes	Order inflow Rs 469 cr in H1 FY27; order book Rs 646 cr; Rs 52 cr SAEL contract (Nov 2026).
Turnaround	Yes	Q2 FY26 profit before tax 'sharp turnaround from a loss of INR3 crore in Q1 to a profit of INR8 crore' (Nov 2025); textile challenges 'have been overcome' (Feb 2026).
Promoter buying	No	Not discussed.

The single concrete driver: A much larger order book from recovering textile mills, solar-plant pollution control and Quickmill exports, with the Penta automation buy adding a new line.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2025	FY26: 10-12% revenue growth and better bottom line	FY26 revenue up 7%	Missed
Nov 2025	10-12% growth in both topline and bottom line for FY26	Q3 FY26 was 'challenging'; FY26 up 7%	Missed
Feb 2026	Textile challenges overcome; better next year	H1 FY27 revenue up 43%; order inflow strong	Delivered so far
May 2026	Quickmill to improve in FY27; target new ZLD projects	Quickmill enquiries better; SAEL solar order won	On track
Aug 2026	About 10% topline growth in FY27, stable margins	H1 up 43%	On track

Narrative drift: The story has shifted from 'textile recovery' to 'diversified engineering plus automation and solar', which is a sensible broadening. But the first full year of guidance (FY26) was missed, blamed on US tariffs, and margins have stayed thin throughout. Guidance for FY27 is modest and looks beatable.

5. Bottom line

Durable earning trigger? → MAYBE

The bigger order book and textile recovery are real and in H1 sales, but the business earns very thin margins, so higher sales haven't yet made it meaningfully profitable. Penta is too small to move the needle.

Management consistent? → MAYBE

Only five calls on record. FY26 guidance was missed; FY27 is so far well ahead of a conservative guide. Not enough history to call it consistent.

6. Checkpoints for next quarter

- H2 sales keep FY27 growth well above the 10% guide
- EBITDA margin rises above the H1 level
- Order book stays above Rs 600 cr

This is not investment advice. Do your own due diligence.